

interested. So, there is an opportunity for us to do better,” he says, looking calm in a spotless white shirt. To move on this strategy, apart from boosting in-house R&D capabilities, Sun Pharma jumped onto the M&A bandwagon.

In 2016, it acquired US-based Ocular Technologies, giving it access to Seciera, a potential drug for treatment of dry eye disease. Sun Pharma later renamed and launched it as Cequa in 2019. In 2021, it acquired the rights to sell Winlevi, a cream to treat acne from Italy-based Cassiopea SpA, in the US and Canada markets. Sun Pharma’s most recent acquisition (completed in May 2023) was that of US-based Concert Pharmaceuticals for \$576 million, which is aimed at accessing Concert’s experimental drug deuruxolitinib, a potential treatment for alopecia areata, a dermatological disorder causing bald patches.

There were specialty M&As done before 2018, too, but the focus has sharpened in the past few years. Notable prior acquisitions included that of Israel-headquartered Taro Pharmaceutical Industries in 2010 for access to its dermatology generics portfolio and manufacturing facilities in Israel and Canada; of Massachusetts-headquartered DUSA Pharma in 2012 for its specialty drug-device dermatology combination; Ranbaxy for \$4 billion; and US-based specialty ophthalmic company InSite Vision in 2015.

The hectic activity has enabled the global specialty business to clock revenues of \$871 million (around ₹7,147 crore) in FY23, a 29 per cent YoY growth over \$674 million in FY22. Importantly, the global specialty business’s share of Sun Pharma’s consolidated top line has shot up from around 7 per cent in FY18 to more than 16 per cent in FY23. It has so far commercialised around 25 specialty products across the US, Canada, Europe, Japan, Australia, Israel and India, in the dermatology, ophthalmology and oncology segments. The bestseller among these has been Ilumya, global sales of which were up by about 51 per cent to \$477 million in FY23. Ilumya is a specialty drug used to treat moderate to severe plaque psoriasis characterised by dry, itchy, raised skin patches covered with scales.

“We have a good basket of specialty products currently marketed in the US... Ilumya, Cequa, Winlevi and Levulan (to treat warty overgrowths of skin),” says Abhay Gandhi, CEO of Sun Pharma’s North America business. “Going forward, our focus will be on enhancing our share of specialty business in dermatology, ophthalmology and onco-derm (cancer and skin-related) segments.”

Shanghvi’s formula for success in the specialty business, where it looked to build presence in a market that was underpenetrated by bigger companies, is markedly different from his strategy for traditional, non-specialty

SHINING BRIGHT

- 1 Sun Pharma’s top line has grown at an annualised growth rate of 10.7 per cent between FY18 and FY23
- 2 Its revenues have jumped from ₹26,065.9 crore in FY18 to ₹43,278.9 crore in FY23
- 3 Its consolidated Ebitda margin has improved from 21.2 per cent in FY18 to 26.5 per cent in FY23
- 4 The company’s contribution from the global specialty business to its top line has increased from 7.3 per cent in FY18 to 16.2 per cent in FY23
- 5 Sun Pharma had a strong net cash position of about \$1.5 billion as on March 31, 2023

BOOSTER SHOT

The top five growth drivers for Sun Pharma in the past five years



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